Effective Date
January 1, 2024

Background:
Assembly Bill (AB) 133 signed into law July 27, 2021, eliminates the asset test to determine eligibility for Non-Modified Adjust Gross Income (MAGI) Medi-Cal Programs in two phases.

Phase 1 was implemented on July 1, 2022, which increased asset limits for all Non-MAGI programs to $130,000 per individual and $65,000 for each additional member (up to 10).

Phase 2 is effective as of January 1, 2024, to eliminate the asset test completely for Non-MAGI programs including Long Term Care (LTC) and Medicare Savings Programs (MSP).

Purpose:
To provide asset elimination policies when determining eligibility to all Non-MAGI programs.

Policy:
Beginning January 1, 2024, all customers both new intake applications and ongoing cases, will be evaluated without requiring verification of assets when determining eligibility. Treatment of income for Non-MAGI programs as noted in the Medi-Cal Program Guide (MPG) Article 10 have not changed. Request information only to verify the income amount received from income producing assets and frequency of distributions.

- Customers denied in December 2023 for reason of Over Property must be re-evaluated for eligibility January 2024 and ongoing.
- Customers denied for the reason of over property in the past 6 months prior to implementation will receive a one-time outreach letter by early March 2024, to inform them of the new regulations and encourage them to reapply.

Procedure:
Income Producing Assets
Reference table below for clarification of Income Producing Assets as it relates to Asset Elimination.

Asset Type	Description
Annuities	Any undistributed balance is no longer considered. Customers are no longer required to take any period distributions from an annuity as a condition of eligibility.
Individual Retirement Arrangements (IRAs), Retirement Plans for customers that are Self-Employed (formerly known as Keoghs) and Work Related Pension Funds	The cash value of these plans is no longer considered. Customers are no longer required to receive any periodic payments from these funds as a condition of eligibility and are not considered as unconditionally available income.
Income from Real Property	Property utilization is no longer a requirement.
Trusts	A trust principal is no longer considered. Continue to request trust documentation to review the terms of the trust regarding distributions.

Interest and Dividend Income	The value of the asset for which Interest or Dividends income is received are not considered.

Estate Recovery

The Department of Health Care Services (DHCS) will continue to seek repayment from the estates of deceased Medi-Cal customers who meet the criteria as stated in MPG Section 16.03. Asset information for Estate Recovery purposes should not be requested from customers. Refer all Estate Recovery inquiries to:

- Estate Recovery website https://www.dhcs.ca.gov/services/Pages/TPLRD_ER_cont.aspx.
- DHCS Third Party Liability and Recovery Division ER@dhcs.ca.gov or (916) 650-0590.

Overpayments

Follow MPG 16.02 when establishing overpayments due to income and failure to report other health coverage discovered. Overpayments due to excess property must not be established on or after January 1, 2024.

Spousal Impoverishment (SI)

Effective January 1, 2024, Community Spouse Resource Allowance (CSRA) no longer applies for purposes of SI provisions. Customers requesting Medi-Cal evaluation prior to implementation date will be subject to verify property and will have CSRA applied to determine eligibility. Apply the Minimum Monthly Maintenance Needs Allowance (MMMNA) when evaluating under SI provisions. The MMMNA will continue to be updated by DHCS annually.

Transfer of Assets, Period of Ineligibility (POI) and Asset Verification Program (AVP)

Transfers of property completed after January 1, 2024, are no longer required to be verified. This includes transfers of lumps sums and income such as from mortgages, loans, and annuities.

Review transfer of assets to determine if customers requesting LTC services and their responsible relatives made asset transfers for less than fair market value during the look back period prior to January 1, 2024, as referenced in MPG 09.07.01 using the AVP report. Request administrative verification if the AVP report is not:

- Returned within 20 calendar days.
- Sufficient to complete the POI evaluation.

Note: Only request and utilize the AVP report to determine POI during the lookback period.

The number of months that will require review in the look back period decreases by one month for each month that passes after January 2024.

Example:	
Scenario	Customer applies April 2024 and is requesting LTC services
Outcome	The look back period would be 27 months from 10-2021 to 12-2023 as it would only include any months prior to January 2024.

Please refer to Attachment A- Decreasing Look Back Period.

Undue Hardship
All cases must be reviewed for undue hardship when evaluating POI or OBRA 93 trusts.

- Reference MPG 09.07.01 and 09.13.03 when evaluate undue hardship during a POI.
- Reference MPG 09.14.4C when evaluating undue hardship for OBRA 93 trusts.

Automation Impact:
The California Statewide Welfare System (CalSAWS) has been programed and updated to no longer count or display property in the Medi-Cal eligibility determination beginning January 1, 2024.

Client Correspondence and Forms
Notices and forms relating to property will be available for use in CalSAWS for Retroactive Medi-Cal determinations. Updates on all other forms related to asset elimination will be shared as they are released. Renewal forms have been updated and no longer include asset information.

The following forms have been obsoleted:

- Medi-Cal General Property Limitations (MC 007)
- Sneede v. Kizer Property Worksheet (MC 175-3 P)
- Medi-Cal Property Assessment Application (MC 176 PA-A)
- QMB/SLMB/QI Property Worksheet, Adult (MC 176 P-A QMB/SLMB/QI)
- QMB/SLMB/QI Property Worksheet, Child (MC 176 P-C QMB/SLMB/QI)
- Period of Ineligibility for Nursing Facility Level of Care Worksheet (MC 176 P-I)
- QDWI Property Worksheet (MC 176 QDWI-2)
- Supplement to Statement of Facts—Pickle Eligibility Determination (MC 210 B)
- Property Assessment Statement of Facts (MC 210 PA)
- Medi-Cal Potential Overpayment Reporting Worksheet—Property Total Ineligibility or Ineligibility for a Specific Level of Services (MC 224 B)
- Tuberculosis Program Property Worksheet-Adult (MC 278 TB)
- Pickle Resource Worksheet (DHCS 7037)
- MC 210 PS Property Supplement
- MC 322 Real and Personal Property- Supplement to Medi-Cal Mail-in Application

AVP report
The last monthly batch for AVP will occur December 2023 as they will become obsolete for renewals. Weekly reports will continue for requests made for customers seeking LTC services and their responsible relatives.

References:
ACWDLs 22-25, 23-16, 23-17, 23-20, 23-21 23-22, 23-22E, 23-28, 23-29
MEDIL I 23-39

Sunset Date:
This policy will be reviewed for continuance on or by 01/31/2025.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services

ATTACHMENT A- Decreasing Look-Back Period

Decreasing Look Back Period

Date of LTC Application	Length of look back Period (months)	Review Period for Transfers
January 2024	30	7/2021-12/2023
February 2024	29	8/2021-12/2023
March 2024	28	9/2021-12/2023
April 2024	27	10/2021-12/2023
May 2024	26	11/2021-12/2023
June 2024	25	12/2021-12/2023
July 2024	24	1/2022-12/2023
August 2024	23	2/2022-12/2023
September 2024	22	3/2022-12/2023
October 2024	21	4/2022-12/2023
November 2024	20	5/2022-12/2023
December 2024	19	6/2022-12/2023
January 2025	18	7/2022-12/2023
February 2025	17	8/2022-12/2023
March 2025	16	9/2022-12/2023
April 2025	15	10/2022-12/2023
May 2025	14	11/2022-12/2023
June 2025	13	12/2022-12/2023
July 2025	12	1/2023-12/2023
August 2025	11	2/2023-12/2023
September 2025	10	3/2023-12/2023
October 2025	9	4/2023-12/2023
November 2025	8	5/2023-12/2023
December 2025	7	6/2023-12/2023
January 2026	6	7/2023-12/2023
February 2026	5	8/2023-12/2023
March 2026	4	9/2023-12/2023
April 2026	3	10/2023-12/2023
May 2026	2	11/2023-12/2023
June 2026	1	12/2023